

Recognising banking as the biggest market and user of this technology, Ripple has established a private blockchain network of global banks consisting of several top international banks like Bank of America Merrill Lynch, Royal Bank of Canada, Banco Santander, UniCredit, Standard Chartered and Westpac. This network will have formalised standards and rules for payments and transfers between banks enabling real time transfers and reducing costs drastically.

Going beyond Ripple, banks are collaborating to form a private blockchain network to launch its own cryptocurrency, Utility Settlement Coin, which is expected to be launched in 2018. Recognising the fact that there are



Ripple has been making waves in the payment industry

several issue with Bitcoin like the 51% attack (which means that individuals or miners controlling more than 50% of the network can prevent a consensus for new transactions to take place) and that they would have no real control over it has prompted the banking industry to collaborate for this project. This currency will be used to clear and settle financial transactions in real time across borders. Since they are stored as a block which renders them immutable and irreversible, payments and transfers can be initiated even before the actual assets change ownership. These coins will be stored on the blockchain and can be exchanged into real world currency. Implementation of this project will result in time and cost savings, reduce back office delays and overall improve customer service.

Capital Markets

Clearing and settlement is the backbone of capital markets- equity and other securities issuance, purchase and sale. Currently, it is effected through a myriad and tangled web of transactions. Accenture has estimated that the biggest investment banks could save \$10bn by using blockchain technology to improve the efficiency of clearing and settlement.